FitnessPlanet, Member Retention Strategy (Derek Cheng)

Answered Problem Sections:
Yes, it hits both things I asked. Which of the three options to fund, and whether the price is worth touching. They walked through all three and clearly explained why two of them fell apart.
5/5

Technique judgment:
This makes sense. I gave them a labeled outcome (churned or not) and asked him to predict it and put a dollar number on the fee, so a supervised model fits. They also tried a couple other model types and showed they didn't do any better, so this was the right choice.
5/5

Evaluation/interpretation quality:
Really solid here. They didn't stop at "expensive members leave more," they checked whether that was actually about price or just about which plan people were on, and it turned out to be mostly the plan. Then they turned the fee effect into an actual number, what a $10 cut would cost me versus how many people it would save.
5/5

Communication:
Mostly good, I could follow the whole thing without needing them to explain. A few things about how the data itself was presented could use a bit more clarity:

- The pricing slide labels its chart "churn by fee quintile." "Quintile" isn't a word I'd expect everyone to know. A caption like "members split into five equal-sized groups, cheapest to priciest" might work better.
- The punch card chart buckets visits as 0, 0.5-1, 1-1.5, 1.5-2, 2-3, 3-4, 4+, but those bars are spaced evenly across the page even though the later buckets cover two or three times the range of visits the early ones do which might be a bit misleading
- On the class reward slide, the 27% who never take a class and the 40% of total losses that group accounts for come from two separate charts, so I had to multiply them myself to see the connection.

4/5

Feedback:

The week-one attendance signal stood out most: members who show up once or less in their first week are a third of the January intake and nearly half of everyone lost. That's actionable immediately, with no new program and no price change. I hadn't listed it as an option, but it would have been good to know it could be.

One limitation worth noting: everyone in this dataset already accepted the current price, so nothing here should be read as evidence that raising prices is safe.

They also tested both of my reward ideas against the data rather than validating them, which is exactly what I asked.